

Project 2: Employee Payroll Management System

Project Objective

Create an Employee Payroll Management System in Microsoft Excel to calculate employee salaries, bonuses, deductions, PF, tax, and generate department-wise payroll reports using formulas, lookups, data validation, Pivot Tables, and dashboards.

Employee Payroll Management System – 20 Excel Project Questions

1. IF Function

Create a formula to calculate **Bonus**:

- If Basic Salary is **greater than or equal to ₹50,000**, Bonus = **10%**
 - Otherwise, Bonus = **5%**
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2. Nested IF Function

Calculate **Income Tax**:

- Salary $\geq$ ₹80,000 $\rightarrow$ 20%
 - Salary $\geq$ ₹50,000 $\rightarrow$ 10%
 - Otherwise $\rightarrow$ 5%
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3. IF with AND Function

Calculate **Performance Incentive**:

- Employee Rating $\geq$ 4

- Attendance $\geq 95\%$
 - Then Incentive = ₹5,000
 - Otherwise = ₹0
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4. IF with OR Function

Display "**Eligible for Leave Bonus**" if:

- Experience > 5 Years
- OR Attendance > 98%

Otherwise display "**Not Eligible**".

5. VLOOKUP Function

Retrieve the **Department Name** using the Department ID from the Department Master sheet.

6. XLOOKUP Function

Find the **Employee Email ID** using the Employee ID.

7. HLOOKUP Function

Retrieve the **Monthly PF Percentage** from a horizontal salary policy table.

8. LOOKUP Function

Find the **Tax Slab Percentage** based on Gross Salary using the LOOKUP function.

9. INDEX + MATCH Function

Return the **Employee Designation** using Employee ID.

10. Data Validation (Drop-down)

Create a Department drop-down containing:

- HR
 - Finance
 - IT
 - Sales
 - Marketing
 - Operations
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11. Dependent Drop-down

Create a Designation drop-down that changes based on the selected Department.

12. SUMIFS Function

Calculate the **Total Salary** paid to employees in the IT Department.

13. COUNTIFS Function

Count the number of employees whose:

- Department = Sales
 - Salary > ₹50,000
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14. AVERAGEIFS Function

Calculate the average salary of employees working in the Finance department.

15. Employee Lookup

Create a Payroll Search section where entering an Employee ID displays:

- Employee Name
- Department

- Designation
 - Basic Salary
 - Bonus
 - PF
 - Tax
 - Net Salary
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16. Salary Calculation

Calculate **Net Salary** using:

Net Salary = Basic Salary + Bonus + Allowances – PF – Tax

17. Pivot Table Report

Create a Pivot Table showing:

- Department
 - Number of Employees
 - Total Salary
 - Average Salary
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18. Pivot Chart

Create a chart from the Pivot Table comparing the **Total Salary** of each department.

19. Salary Dashboard

Design a dashboard displaying:

- Total Employees
- Total Payroll
- Average Salary
- Highest Salary
- Lowest Salary
- Department-wise Salary Chart
- Employee Count by Department

20. Payroll Summary Report

Create a final report where users can select a Department from a drop-down and automatically display:

- Total Employees
- Total Gross Salary
- Total Bonus
- Total PF
- Total Tax
- Total Net Salary
- Average Salary
- Highest Paid Employee
- Lowest Paid Employee